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Contemporary Reforms in Islamic Banking by Mufti Taqi Usmani and Imran Nazar Hosein (A Comparative Study)

Abstract

Islamic banking is an investment and financing concept that expands globally. People are becoming more aware of the Islamic banks. Islamic banking is different from conventional banking in most aspects, since its close tie to religion is very important. Within the foundations of Islamic economics, lot of confusion persists as diverse views come up from different schools of thought. Similarly, there is a need to revisit the basic concept of Riba especially on the perspective of deferred sales transaction.

If financing is meant for a commercial purpose, it can be based on the concept of profit and loss sharing, for which Musharakah and Murabahah have been designed since the very inception of the Islamic commercial law. So we can say that The basic purpose of Islamic banking, is to provide financial facilities by developing financial instruments that conform with the Islamic rules, norms and the Shariah.

Contents

Introduction

Islam means "submission" which points out that a believing Muslim should submit to the will of Allah. it might be worth mentioning that the expression 'the will of Allah' has a quite different meaning to the true Muslim than to the secularized western citizen the superiority of Allah in the eyes of the Muslims forms the foundation for both Islam and Islamic banking. The Quran is the holy book of Islam and to be seen as the true works of Allah. (Samuelsson, 2000)

In Islam, brotherhood and justice are strongly pointed out and the wellbeing of society is more important than the well-being g of the individual. If a rich person sees his or herself as being superior to other people, it is a blasphemy against Allah. (Samuelsson, 2000)

According to Islam, "Allah owns all resources and man is only a trustee in their use"(Al-Omar et. Al., 1996, p 5). Islamic finance is strongly based on the principles and rules of the Islamic law- the Shariah. The Shariah contracts. Which are the main instrument in Islamic finance.

At the beginning of Islam, business through partnerships were quit frequent. Business was based on ' credit instruments' and it was the good name that ruled the credit abilities. People with good reputation – normally through high social status – bought goods on credit and resold them later on.

The risk sharing is very important within Islamic finance. The Shariah manages this risk sharing by insisting on the use of well-defined contracts when financial transactions take place. The Islamic Financial Institutions did not start to develop until in the Mid-1970s. Conventional financial institutions mainly outside the Middle East and Islamic countries handled the investments of the so- called petro-dollars. (Archer *et. al.*,2002).

The earliest Islamic Financial Institutions were mainly working in commercial banking activities. During the last two decades other forms of Islamic Financial Institutions have developed. The majority of Islamic Financial Institutions are Islamic banks which operate worldwide in both private and public sectors The Islamic Financial Institutions can be grouped into broad categories according to the services they offer. The categories are thefollowing:

-Islamic banks

-Islamic windows

-Islamic investment banks and funds

-Islamic mortgage companies

-Takaful companies (Islamic insurance institutions)

-Mudaraba companies

-International Islamic financial markets

Today there are more than 250 Islamic financial institutions worldwide managing assets in excess of US$200 billion. (Archer *et. al.*, 2002)

Western banking arose as a combination of two factors: the generation of capital by means of deposits of the many on the one hand, and money lending and the provision of credit for the few on the other. In the Islamic world, there was a disconnection between deposit and credit, and the conversion of deposits into loans was therefore not necessary. Credit and financing operations were conducted through transactions, usually involving profit-and-loss sharing and, therefore, unrelated to safekeeping. (Warde,2000)

The Islamic bank is a mix of commercial bank and investment bank. The banking operations must be compatible with Islamic norms. Furthermore, they must be viable and profitable overall because the system must protect the depositors and give them an adequate rate of return.

Islamic banks´ general objective is to develop the economy within and according to Islamic principles. Therefore, the banks can under no circumstances engage in the payment and receipt of interest, in alcoholic beverage trade, in the gambling industry or in the pork meat trade, or any other activities explicitly prohibited by the Shariah. (Al-Omar *et. al.*, 1996)

Islamic banks operate based on profit and not on paying and receiving interest. The banks can earn profit from three areas: trading, leasing and by direct financing in Profit-and-Loss-Sharing contracts. Different instruments are devised to earn profit in any of these ways. The structure and conditions of these transactions must conform to the Shariah and fulfil its desired objectives. This means that Islamic banks can extend loans only if interest or return is not earned on it. The only way to finance consumption activities, if at all, is through cost plus the capital, since there is no profit to be earned or shared. The banks advance money for commercially productive activities on the basis of profit-sharing principles. (Al-Omar *et. al.*, 1996)

The Islamic banking system aims at developing new financial instruments to deal with the problems of the Muslim communities. This can be done by mobilizing internal resources into a banking system conforming to Islamic teaching and principles. (Zineldin

Research Problem

Perception of Mufti Taqi Usmani and Imran Nazer Hosein regarding contemporary reform in Islamic banking.

Research Questions

1. How the scholars justified the role of Murabahah in Islamic banking?
2. What is the wisdom of prohibition of Riba in Islam by the scholars?
3. According to the scholars, what is the contemporary performance of the Islamic banking?

Research Objectives

- To gain the knowledge about banking.
- To get the information about Islamic banking and its principles.
- To find the rules of Islamic banking.
- To adapt the information about the system of Islamic banking.
- To see the difference between interest and Riba.
- To obtain the knowledge about the Murabahah and its role in Islamic banking.
- To recognize the comparison between the thoughts of Mufti Taqi Usmani and Imran Nazer Hosein.

Research Methodology

This dissertation is to larger part based on secondary data. It has been collected from several sources. Relevant literature of Mufti Taqi Usmani and Imran Nazer Hosein have been gathered from a number of libraries. Extensive data has been collected through numerous different databases, websites and articles. To receive objective information works by the scholars have been used. Since we have mainly used secondary data most of which is written in English on our dissertation we have chosen to shortly present those scholars most used in our work.

Literature Review

1. Islamic Banking

Islamic banking generally referred to as interest free banking has been gaining popularity in the recent past. The main pillar of Islamic finance is prohibition of interest. Unlike conventional banking where interest is an integral part of the banking system, Islamic banking avoids interest in all bank transactions (Samad and Hassan ,1999). The banking system in Pakistan is undergoing a transition from conventional model of banking to the new concept of Islamic banking, based on principles of Islamic economics. The new system should not only eliminate interest-based transactions but also introduce the concept of "Zakah" a contribution to the poor (Molla, et al. 1988). The prohibition of Riba is based on the arguments of social justice and equality

1.1. Different categories of Islamic Banks

There are five categories of operating Islamic banks (Al-Omar *et. al*., 1996 p 22):

- The Islamic Development Bank.
- The banks which operate in countries where the whole banking system is overseen in some way by religious bodies (like in Pakistan)
- The banks which operate in Muslim countries and which co-exist with interest-based banks (for example in Jordan, Egypt, Malaysia)
- Islamic banks in non-Muslim countries whose monetary authorities do not recognize their Islamic character (like the Al-Baraka International Bank in London and the Islamic Bank in Durban, South Africa)
- Islamic banks which exist in non-Muslim countries whose monetary authorities do recognize their Islamic character (for instance the Faisal International Bank (FIB) based in Copenhagen, Denmark, registered under the Danish Banking Supervisory Board)

1.2. Principles of Islamic banking

There are four principles of special importance for Islamic banking (Al-Omar *et. al.*, 1996, p 24)

1.There must be some risk, whether funds are used in commercial or productive venture

2. All funds should preferably finance socially productive activity:
3. Financial risk must lie solely with the lender of the capital and not with the manager or agent who works with the capital;
4. Interest is forbidden in that it is a predetermined, fixed sum owed to the lender irrespective of the outcome of the business venture in which the fund issued."

The relationship between the bank and its clients is not the same for Islamic banks as for conventional banks. In the former, it is one of direct trading or equity participation while in the latter it is that of lender/borrower. Islamic banks do not trade in debts as conventional banks do.

Some Muslim writers have suggested that the financial intermediation sector should be nationalized. However, very few share this opinion. Nationalization in general is not an authentic Islamic policy. It is considered to violate the basic Islamic philosophy of free will and respect for private property. (Al-Omar *et. al.*, 1996)

1.3. Aims of Islamic Banks in General

Prince Muhammed al-Faisal al-Sa´ud from Saudi-Arabia has said the following about the aims of the bank Dar al-Mal al-Islami/Faisal Group (DMI). The following list can be seen as rather representative of what Islamic banks state as their goals.

1) "To undertake all financial operations required by Muslims today in the framework of the principles and precepts of the Shariah.
2) To implement its (DMI's) various activities through subsidiaries to be established in Islamic and other countries.
3) To invest, within an Islamic context, the funds of Muslims to generate licit profits.
4) To promote and consolidate co operations among Muslims." (Ray, 1995, p16)

Ray suggests two additions to the list. The first is to promote economic and social development in Muslim countries. The social aspect has been implemented through the alms giving/zakat and creation of funds which Islamic banks employ (on a limited scale) in charitable works. Overall, Islamic banks have achieved significant success in economic development by using participatory financing methods such as Mudarabah, Musharakah and (rarely) interest-free loans. The other aim must be the main motivating principle behind Islamic banking; to mobilize the capital of the hundreds of millions of Muslim farmers, artisans, shop owners, and other relatively poor people who have never put their savings in banks. (Ray,1995)

The norm for an Islamic bank is to assess the profitability of a project and back those projects which promise the highest rate of profit, are the safest and the most socially beneficial. The primary basis on which the projects for PROFIT-AND-LOSS SHARING funding are selected is their anticipated profitability rather than the credit-worthiness of the borrower. (Al-Omar *et. al.*, 1996) .

1.4. Activities of Islamic banks

Every bank must offer various accounts to attract different customers. Not all customers have the same needs and wishes. The range of customers varies from personal customer, business people, official customers, organizations and clubs to societies. (Zineldin, 1990). Some conventional bank activities are not conducted in Islamic banking. The participants in modern Islamic banking reject interest, in all forms. This includes bonds, bank deposits, and certificates of deposits and the discounting of commercial paper. Islamic banks can deal with commercial paper at it initial stage, or to collect/accept it at face value. The majority of Islamic banks forbid the purchase of stock in companies dealing with interest (including Western companies). Exceptions do exist; for instance, banks as al-Baraka accept trading of stock in Western firms. (Ray,1995)

Currency futures cause diversity among the Islamic banks; some forbid them while others distinguish between two cases. The first case is where one currency is paid on a spot basis and the other delayed; this is forbidden. The second permitted case involves the future exchange of both currencies at the previously agreed rate. Future trading in commodities is forbidden for gold and silver, but not for other commodities. According to Ray currency options should be forbidden since it is necessary for currencies to change hands without delay. Ray further argues that commodities or shares options are acceptable in principle, but there is debate as to whether or not they can be traded to third party. (Ray, 1995) Charges on issuing travelers cheques and transferring money are also permitted is some banks. (Saeed,1996).

1.5. Performance of Islamic Banks

A number of empirical studies revealed the profitable business of Islamic banks in different countries. The performance of the Islamic banks has been judged by using different key ratios like profitability ratios, liquidity ratios, risk and solvency ratios [see Sarker (1999); Samad and Hassan (1999)].

For example, Iqbal (2001) made trend analysis to depict the overall performance of the Islamic banks as compared to the conventional banks. According to him, Islamic banks in general are stable, profitable and well capitalized. Their profitability ratios compare favorably with international standards in banking.

Alam (2000) undertook a case study to examine the contribution of Islamic Bank Bangladesh Limited (IBBL) toward small and rural sector. The study revealed that IBBL succeeded in attracting both deposits and investment positions since it started its activities. For instance, the deposit figure rose to Taka 10,418 million in March 1995 from Taka 144.20 million as on March 1983, registering an increase of Taka 10,273 million. It was observed from the response of few small-scale industrialists that the remarkable advantages they get from the bank are easy formalities of obtaining loan and quick action in processing loan activities.

Samad and Hassan (1999) evaluated the performance of Islamic bank in Malaysia in terms of its profitability, liquidity, risk and solvency. Financial ratios were applied to measure these performances. A comparison between the Islamic bank and eight other conventional banks was also made. The study revealed that Islamic bank made significant progress on return on assets and return on equity during 1984-1997. The comparison of Islamic bank and the group of eight conventional banks revealed that there was no difference in economic participation between them.

Sarker (1999), used "Banking Efficiency Model" to judge the performance of Islamic banking in Bangladesh. He concluded that Islamic banks could operate with certain level of efficiency even within the presence of conventional banking.

Halim, Hamid and Nordin (2001) conducted a study on the Malaysian Islamic Bank in perspective of Islamic banking education. They showed that the shareholder's funds of the Islamic bank and then interest-free banking fund amounted to RM 1.3 billion, while profit before taxation and zakat amounted to RM 153 million in 1997. Total financing of Islamic bank registered 39.6 percent increase in the second half of 1997.

Since the inception of Profit and Loss Sharing (PROFIT-AND-LOSS SHARING) mode in Pakistani banking sector, the volume of total deposits did not decline. Total PROFIT-AND-LOSS SHARING deposits of all scheduled banks increased from Rs 370,281 million to 1,005,738 in 1992 and 2001 respectively thus registering on average a growth rate of 4 percent per annum .

In the light of the above-mentioned studies, it could be argued that there is no question of the profitability, viability or efficiency of the Islamic banking system. Islamic banks are equally as profitable as any of the conventional banks. The basic issue is the implementation of the Islamic banking in its true spirit

2. Islamic Banking Concepts and Paradigms

In Islam, there is no separation between mosque and state. Business, similarly, cannot be separated from the Islamic religion. The *Shariah* (Islamic law) governs every aspect of a Muslim's religious practices, everyday life, and economic activities. Muslims, for example, are not allowed to invest in businesses considered non-*halal* or prohibited by Islam, such as the sale of alcohol, pork, and tobacco; gambling; and prostitution.[5]

2.1. Riba

Riba is an Arabic word, derived from the verb *Raba* that literally means ‘to grow’ or ‘expand’ or ‘increase’ or ‘inflate’ or ‘excess’ (Al-Raghib et.al.1967)

The same literary meaning has occurred in many places of *al-Qur’an* as well. It is, however, not every growth or increase, which falls in the category of *Rib* prohibited in Islam. It is generally translated into English as “usury” or “interest”, but in fact it has a much broader sense in the *Shariah. Riba* in the *Shariah*, technically refers to the ‘premium’ that must be paid by the borrower to the lender along with the principal amount as a condition for the loan or for an extension in its maturity(Chapra, 1986).

In *Fiqh* terminology, *Riba* means an increase in one of two homogeneous equivalents being exchanged without this increase being accompanied by a return (Al-Jaziri, n.d)

The term *Riba* is, however, used in the *Shariah* in two senses.

1. *Riba al-nasi’ah*
2. *Riba al-fadl.*

Some Muslim scholars attempt to define *Riba*, *which* seems to be closer to the sense implied in the verses of the *Qur'an* and *hadith* related to it. They define *Riba* as an increase or excess which, in an exchange or sale of a commodity, accrues to the owner (lender) without giving in return any equivalent counter-value or recompense to the other party(Haque et al, 1995).

2.1.1. Interest versus Usury

Another controversy on *Riba* is due to the Quranic injunctions against *Riba* whether it is 'interest', or 'usury'. Modernists asserted that the *Riba* which is prohibited, and on which there is consensus of opinion, is 'interest' when it equals the principal or more; but not 'usury'. The different interpretations of this divine prohibition is traceable to the time of 'Umar Ibn al-Khattab in the first century of the Islamic period, who was quoted as saying:

> "The last to be revealed was the verse of usury and the Prophet demised without having made a clear pronouncement on the question of usury. Therefore, give up usury and anything resembling it"(Al-ImamAhmad, *Al-Musnad,* 'Bab al-Riba)

It should be noted that in the translation the word 'usury' is used rather than 'interest', though it is not clear whether 'Umar, by saying this, did mean 'usury' or 'interest' by *Riba*. However, some modern English commentators of *al-Qur'an*, like Muhammad Asad(1984),have used the term 'usury' for *Riba*. This interpretation comes close to the argument that a modern capitalist would make in favor of charging a positive rate of interest on a business loan under uncertainty with varying degrees of risk. Abdullah Yusuf Ali, who also translates *Riba* as 'usury' in his brilliant English translation and commentary on the Qur'an, gives the most clear-cut case in favor of interest within the structure of modern credit and banking systems. He states:

> "The definition I would accept would be: undue profit made, not in the way of legitimate trade, out of loans of gold and silver, and necessary articles of food, such as wheat, barley, dates, and salt (according to the list mentioned by the Holy Apostle himself). My definition would include profiteering of all kinds, but exclude economic credit, the creature of modern banking and finance"(A. Yusuf Ali, 1975)

This position, however, is rejected by several modern writers, like Mawdudi(1988),on the subject of *Riba*. These writers generally interpret *Riba* to mean 'interest' rather than 'usury'.

2.2. Gharar

In Islamic contracting, *gharar* (uncertainty and risk) is not permitted, i.e., the terms of the contract should be well defined and without ambiguity. For example, the sale of fish from the ocean that has not yet been caught is prohibited.[6] The prohibition of *gharar* is designed to prevent the weak from being exploited and, thus, a zero-sum game in which one gains at the expense of another is not sanctioned. Gambling and derivatives such as futures and options, therefore, are considered un-Islamic because of the prohibition of *gharar*.

In Islamic economics, the lender should bear the risk of the venture with the borrower because it is deemed that neither the borrower nor lender is in control of the success or failure of a venture. Thus, a unique feature that differentiates Islamic banking from conventional banking, in theory, is its profit-and-loss sharing (PROFIT-AND-LOSS SHARING) paradigm. Under the PROFIT-AND-LOSS SHARING paradigm, the ex-ante fixed rate of return in financial contracting, which is prohibited, is replaced with a rate of return that is uncertain and determined ex-post on a profit-sharing basis.[8] Only the profit-sharing ratio between the capital provider and the entrepreneur is determined ex-ante. PROFIT-AND-LOSS SHARING contracts, in general, allow two or more parties to pool their resources for investment purposes and to share the investment's profit-and-loss.

The profit-and-loss sharing paradigm is widely accepted in Islamic legal and economic literature as the bedrock of Islamic financing. Islamic bank financing, which adheres to the profit-and-loss sharing principle, is typically structured along the lines of two major types of contracts:

2.3. Musyarakah (joint venture)

Musyarakah contracts are similar to joint venture agreements, in which a bank and an entrepreneur jointly contribute capital and manage a business project. Any profit-and-loss from the project is shared in a pre-determined manner. The joint venture is an independent legal entity, and the bank may terminate the joint venture gradually after a certain period or upon the fulfilment of a certain condition.

2.4. Mudarabah (profit sharing)

Mudarabah contracts are profit-sharing agreements, in which a bank provides the entire capital needed to finance a project, and the customer provides the expertise, management and labor. The profits from the project are shared by both parties on a pre-agreed (fixed ratio) basis, but in the cases of losses, the total loss is borne by the bank.

2.5. Murabahah

Murabahah financing is based on a mark-up (or cost plus) principle, in which a bank is authorized to buy goods for a customer and resell them to the customer at a pre-determined price that includes the original cost plus a negotiated profit margin.[9] This contract is typically used in working capital and trade financing.

2.6. Ijarah

Ijarah financing is similar to leasing. A bank buys an asset for a customer and then leases it to the customer for a certain period at a fixed rental charge. *Shariah* (Islamic law) permits rental charges on property services, on the precondition that the lessor (bank) retain the risk of asset ownership.

2.7. Bai' Muajjal

Bai' Muajjal financing, which is a variant of *Murabahah* (cost plus) financing, is structured on the basis of a deferred payment sale, whereby the delivery of goods is immediate, and the repayment of the price is deferred on an installment or lump-sum basis. The price of the product is agreed upon at the time of the sale and cannot include any charge for deferring payments. This contract has been used for house and property financing.

2.8. Bai' salam

Bai' salam is structured based on a forward sale concept. This method allows an entrepreneur to sell some specified goods to a bank at a price determined and paid at the time of contract, with delivery of the goods in the future.

2.9. Istisna

Istisna contracts are based on the concept of commissioned or contract manufacturing, whereby a party undertakes to produce a specific good for future delivery at a pre-determined price. It can be used in the financing of manufactured goods, construction and infrastructure projects.[10]

3. Contemporary Reformist of Islamic Banking

3.1. Mufti Taqi Usmani

Taqi Usmani is a highly educated Islamic Scholar who has received worldly education and has an excellent command over Islamic Knowledge. He is known as the Pioneer of the Islamic Banking concept. He has written several books and articles in various languages that indicate his Islamic and modern knowledge.

Taqi firmly opposes modernity and describes it as an engulfing element. In 1984 at the religious conference, he urged towards 'Ijtihad,' stating that there is not a lack of sharp minds able to interpret Sharia. He served at various leading and valuable posts in the past and is also presently serving at some prominent positions, including chairman AAOIFI, member I.F.A., and many others.

His outstanding service is to assist in declaring Ahmadis as Non-Muslims by N.A. Pakistan.

3.1.1. DATE OF BIRTH

He was born on 5th October 1943 in Deoband, UP, British India.

3.1.2. EDUCATION

His parents started his primary education under their supervision at home. Later, he enrolled himself in Dar-ul-Uloom Karachi. For religious training, he joined the Dars-e-Nizami Curriculum in 1953. Muhammad Taqi cleared 'Fazail-e-Arbi' in 1958 with distinction and obtained his Alimiyah degree from Dar-ul-Uloom Karachi with distinction in 1959.

He did a specialization in Islamic Jurisprudence (Fiqh) in 1961 from Dar-ul-Uloom Karachi and earned the title 'Mufti.' In 1964, he earned his Bachelor's degree in Economics & Politics and an L.L.B. degree in 1967. He earned an M.A. degree in the Arabic language from P.U. in 1970.

3.1.3. CAREER

- He has obtained teaching licenses from Religious scholars Muhammad Idrees, Muhammad Shafi, Qari Muhammad Tayab, Rasheed Ahmad Ludhianvi, Zafar Ahmed, Muhammad Zakariya, Abd-al-Fattah Abu Ghuddah to teach Hadith. Currently, he is teaching Islamic Economics and 'Sahih-Al-Bukhari' at Dar-ul-Uloom Karachi.
- He is recognized for his Islahi Khutbat and was a prominent and leading member of scholar teams that helped to declare 'Qadianis/Ahmadis' as non-Muslims by Pakistan NA during ex-President regime Zulfiqar Bhutto in 1970. During the presidential period of Gen Zia-ul-Haq, he played an important role in preparing laws regarding Qisas, Hudood, meaning Diyya and retaliation (eye-for-eye).
- He is the 1st to present the idea of 'Islamic Banking' in Pakistan and founded Meezan Bank. He has written articles on Islamic finance & banking and books in English, Urdu, and Arabic on religious topics. His articles have been published in magazines & journals.

3.1.4. PRESENT POSITIONS

Currently, he is serving at these posts:

1. Vice-President & Sheikh-al-Hadith___Jamia Dar-ul-Uloom Karachi
2. Chairman___ AAOIFI
3. Permanent Member___ International I.F.A.
4. Member__IFA of Rabita-al-Alam-Islami
5. Chairman___Centre for Pakistan Islamic Economics
6. Chairman Shariah Board___Abu Dhabi Islamic Bank, Pakistan-Kuwait Takaful, Intl Islamic Rating Agency, and Arif Habib Investments
7. Member Shariah Board___Arcapita Investment Fund

3.1.5. PAST POSITIONS

1. Judge___Pakistan's Supreme Court Shariayat Appellate Bench, Pakistan's Federal Shariyat Court
2. Member___Karachi University Syndicate, Board of Governors of IIUI (Intl Islamic University Islamabad), Board of Trustees of IIUI, Intl Institution of Islamic Economics
3. Chairman___ Islamic Economics Centre
4. Member of Shariah Board___ Bank Islami, Dubai Bank, A.B.C. investment Bank, Al Bakarah Jeddah Group, Robert Flemming Oasis Fund

3.2. Conception about Islamic Banking

According to the Mufti Taqi Usmani, It is sometimes argued against the Islamic financial system that the Islamic banks and financial institutions, working since last three decades, did not bring any visible change in the economic set-up, not even in the field of financing. This indicates that the boastful claims of creating 'distributive justice' under the umbrella of Islamic banking are exaggerated.

He said :

1. This criticism is not realistic, because it does not take into account the fact that, in proportion to the conventional banking, the Islamic banks and financial institutions are no more than a small drop in an ocean, and therefore, they cannot be supposed to revolutionize the economy in a short period.
2. Secondly, these institutions are passing through their age of infancy. They have to work under a large number of constraints, therefore, some of them have not been able to comply with all the requirements of Shariah in all their transactions, therefore, each and every transaction carried out by them cannot be attributed to Shariah.
3. Thirdly, the governments, legal and taxation system and the central banks of their respective countries do not normally support the Islamic banks and financial institutions. Under these circumstances, they have been given certain concessions, on the grounds of need or necessity, which are not based on the original and ideal principles of Shariah.

However, if the whole financing system is based on the ideal Islamic principles, it will certainly bring a discernible impact on the economy.

3.3. Riba in Islamic banking

As reported by justice Taqi Usmani, A detailed account of the rationale of the prohibition of *Riba* would, in fact, require separate volume, but for the purpose of brevity we would concentrate on three aspects of the issue:

1. The logic of the prohibition on theoretical ground
2. The evil effects of interest on production
3. The evil effects of interest on distribution.

3.3.1. The Logic of the Prohibition on Theoretical Ground

On pure theoretical ground, it focus on two basic issues:

1. on the nature of money
2. On the nature of a loan transaction.

3.3.1.1. Nature of Money

One of the wrong presumptions on which all theories of interest are based is that money has been treated as a commodity. In Islamic principles, Money and commodity have different characteristics and therefore they are treated differently. The basic points of difference between money and commodity are as follows:

a) Money has no intrinsic utility. It cannot be utilized in direct fulfillment of human needs. It can only be used for acquiring some goods or services. A commodity, on the other hand, has intrinsic utilityand can be utilized directly without exchanging it for some other thing.

b) The commodities can be of different qualities while money has no quality except that it is ameasure of value or a medium of exchange. Therefore, all the units of money of the same denomination are hundred percent equal to each other. An old and dirty note of Rs.1000/= has the same value as a brand new note of Rs.1000/=.

c) In commodities, the transactions of sale and purchase are effected on an identified particularcommodity. If A has purchased a particular car by pinpointing it, and seller has agreed, he deserves toreceive the same car. The seller cannot compel him to take the delivery of another car, though of thesame type or quality. Money, on the contrary, cannot be pinpointed in a transaction of exchange. If A has purchased a commodity from B by showing him a particular note of Rs.1000/- he can still pay him another note ofthe same denomination.

3.3.1.2. The Nature of Loan

Another major difference between the secular capitalist system and the Islamic principles is that under the former system, loans are purely commercial transactions meant to yield a fixed income to the lenders. Islam, on the other hand, does not recognize loans as income-generating transactions. They are meant only for those lenders whodo not intend to earn a worldly return through them. They, instead, lend their money either on humanitarian grounds to achieve a reward in the Hereafter, or merely to save their money through a safer hand. So far as investment is concerned, there are several other modes of investment like partnership etc which may be used for that purpose. The transactions of loan are not meant for earning income.

3.3.2. Overall Effects of Interest

Interest-based loans have a persistent tendency in favor of the rich and against the interests of the common people. It carries adverse effects on production and allocation of resources as well as on distribution of wealth.

Some of these effects are the following:

3.3.2.1. Evil Effects on Allocation of Resources

Loans in the present banking system are advanced mainly to those who, on the strength of their wealth, can offer satisfactory collateral.

3.3.2.2. Evil Effects on Production

Since in an interest-based system, funds are provided based on strong collateral and the end-use of the funds does not constitute the main criterion for financing, it encourages people to live beyond their means. The rich people do not borrow for productive projects only, but also for conspicuous consumption. Similarly, governments borrow money not only for genuine development programs, but also for their lavish expenditure and for projects motivated by their political ambitions rather than being based on sound economic assessment.

3.3.2.3. Evil Effects on Distribution

When business is financed based on interest, it may bring injustice either to the borrower if he suffers a loss or to the financier if the debtor earns huge profits. Although both situations are equally possible in an interest-based system, and there are many examples where the payment of interest has brought total ruin to the small traders, yet in our present banking system, the injustice brought to the financier is more pronounced and much more disturbing to the equitable distribution of wealth.

3.3.2.4. Expansion of Artificial Money and Inflation

Since interest-bearing loans have no specific relation with actual production, and the financier, after securing a strong collateral, normally has no concern how the funds are used by the borrower, the money supply effected through banks and financial institutions has no nexus with the goods and services actually produced on the ground. It creates a serious mismatch between the supply of money and the production of goods and services. It can be one of the basic factor that create or fuel inflation.

3.4. Murabahah Transaction

As per Mufti Taqi Usmani,Originally, Murabahah is aparticular type of sale and not a mode offinancing. The ideal mode of financing according to Shariah is
Mudarabah or Musharakah
However, in the perspective of the current economic set up, there are certain practical difficulties in using Mudarabah and Musharakah instruments in some areas of financing. Therefore, thecontemporary Shari'ah experts have allowed, subject to certain conditions, the use of the Murabahah on deferred payment basis as a mode of financing. Nevertheless, there are two essential points that must be fully understood in this respect:

1. It should never be overlooked that, originally, Murabahah isnot a mode of financing. It is only a device to escapefrom "interest"and not an ideal instrument for carrying out the real economicobjectives of Islam. Therefore, this instrument should be used as atransitory step taken in the process of the Islamization of theeconomy, and its use should be restricted only to those cases whereMudarabah or Musharakah are not practicable.

2. The second important point is that the Murabahah transaction does not come into existence by merely replacing theword of “interest” by the words of “profit” or “mark-up”. Actually,the Shariah scholars with some conditions have allowed Murabahah as a mode of finance. Unless these conditions are fullyobserved, Murabahah is not permissible. In fact, it is the observanceof these conditions that can draw a clear line of distinctionbetween an interest-bearing loan and a transaction of Murabahah. Ifthese conditions are neglected, the transaction becomes invalidaccording to Shariah.

3.4.1. Method of Murabahah

As per Mufti Taqi Usmani, a financial institution can use the Murabahah as a mode of finance by adopting the following procedure:

1. The client and the institutionsign an over-all agreementwhereby the institution promises to sell and the client promisesto buy the commodities from time to time on an agreed ratio ofprofit added to the cost. This agreement may specify the limit up to which the facility may be availed.

2. When the customer requires a specific commodity, the institution appoints the client as his agent forpurchasing the commodity on its behalf, and both the parties sign an agreement of agency.

3. The client purchases the commodity on behalf of theinstitution and takes its possession as an agent of the institution.

4. The client informs the institution that he haspurchased the commodity on his behalf, and at the same time,makes an offer to purchase it from the institution.

5. The institution accepts the offer and the sale isconcluded whereby the ownership as well as the risk of thecommodity is transferred to the client.

All these five stages are necessary to effect a valid Murabahah. If the institution purchases the commodity directly from the supplier (which is preferable), it does not need any agency agreement. In this case, the second phase will be dropped and at the third stage, the institution itself will purchase the commodity from the supplier, and the fourth phase will be restricted to making an offer by the client.

The most essential element of the transaction is that the commodity must remain in the risk of the institution during theperiod between the third and the fifth stage. This is the only feature of Murabahah that can distinguish it from an interest-based transaction. Therefore, it must be observed with due diligence at all costs, otherwise the Murabahah transaction becomes invalid according to Shariah.

3.5. Contemporary performance of the Islamic banking

Corresponding to Mufti Taqi Usmani, Islamic banking has become today an undeniable reality. The number of Islamic banks and the financial institutions is ever increasing. New Islamic Banks with huge amount of capital are being established. Conventional banks are opening Islamic windows or Islamic subsidiaries for the operations of Islamic banking. Even the non-Muslim financial institutions are entering the field and trying to compete each other to attract as many Muslim customers as they can. It seems that the size of Islamic banking will be at least multiplied during the next decade and the operation of Islamic banks are expected to cover a large area of financial transactions of the world. However, before the Islamic financial institutions expand their business they should evaluate their performance during the last twodecades because every new system has to learn from the experience of the past, to revise its activities and to analyze its deficiencies in a realistic manner.

3.5.1. Interest Free Transaction

Islamic banks have made a great breakthrough in the present banking system by establishing Islamic financial institutions meant to follow Shariah. It was a cherished dream of the Muslim Ummah to have an interest-free economy, but the concept of Islamic banking was merely a theory discussed in research papers, having no practical example. It was the Islamic banks and financial institutions which translated the theory into practice and presented a living and practical example for the theoretical concept in an environment where it was claimed that no financial institution can work without interest. It was indeed a courageous step on the part of the Islamic banks to come forward with a firm resolution that all their transactions will conform to Shariah and all their activities will be free from all transactions involving interest.

3.5.2. Establishment of Shariah Boards

Another major contribution of the Islamic banks is that, being under supervision of their respective Shariah Boards. they presented a wide spectrum of questions relating to modern business, to the Shariah scholars, thus providing them with an opportunity not only to understand the contemporary practice of business and trade but also to evaluate it in the light of Shariah and to find out other alternatives which may be acceptable according to the Islamic principles.

The boards have to analyze every new questionin the light of the principles laid down by the Holy Qur'an and Sunnah as well as in the light of the standards set by the earlier jurists, enumerated in the books ofIslamic jurisprudence.

3.5.3. Emergence in Foreign Market

Another major contribution of the Islamic banks , according to the Mufti Taqi Usmani, is that they have now asserted themselves in the international market, and Islamic banking as distinguished from conventionalbanking isbeinggraduallyrecognizedthroughout the world.

3.5.4. Flaws in Islamic Banking

As said by mufti Taqi Usmani, there are a number of deficiencies in the working of the present Islamic banks that should be analyzed with all seriousness.

3.5.4.1. Inequitable Distribution of Wealth

The instrument of interest has a constant tendency in favor of the rich and against the interestsof the common people. The rich industrialists by borrowing huge amounts from the bank utilize the money of the depositors in their huge profitable projects. After they earn profits, they do not let the depositors share these profits except to the extent of a meager rate of interest and this is also taken by them by adding it to the cost of their products. Therefore, looked at from macro level, they pay nothing to the depositors. While in the extreme cases of losses that lead to their bankruptcy and the consequent bankruptcy of the bank itself, the whole loss is suffered by the depositors. This is how interest creates inequity and imbalance in the distribution of wealth.

3.5.4.2. Non-implementation of Musharakah

The ideal instrument of financing according to Shariah is Musharakah the philosophy cannot be translated into reality unless the use of the Musharakah is expanded by the Islamic banks. It is true that there are practical problems in using the Musharakah as a mode of financing especially in the present atmosphere

Unfortunately, the Islamic banks have overlooked this basic requirement of Islamic banking and there are no visible efforts to progress towards this transaction even in a gradual manner even on a selective basis. This situation has resulted in a number of adverse factors.

3.5.4.3. Non applicability of Murabahah

It is observed in a number of Islamic banks that even Murabahah and Ijarah are not effected according to the procedure required by the Shariah.

Some financial institutions have presumed that Murabahah is the substitute for interest, for all practical purposes. Therefore, they contract a Murabahah even when the client wants funds for his overhead expenses like paying salaries or bills for the goods and services already consumed. Obviously,Murabahah cannot be effected in this case because no commodity is being purchased by the bank.

In some cases, the client purchases the commodity on his own prior to any agreement with the Islamic Bank and a Murabahah is effected on a buy-back basis. This is again contrary to the Islamic principles because the buy-back arrangement is unanimously held as prohibited in Shariah.

4.1. Imran Nazer Hosein

Imran Nazer Hosein, or as he is commonly known, Sheikh Imran Hosein, is an Islamic Scholar, Author, and Philosopher with an intrinsic specialty in Islamic Eschatology, World Politics, Economics, and Modern Socio-Economic/Political issues. He is best known for his authorship of Jerusalem in the Qur'an and The Qur'an, Dajjal and the Jasad. (IRON HEART PUBLISHING HOUSE, 2018)

He was born in the Caribbean island of Trinidad in 1942 from parents whose ancestors had migrated as indentured laborer from India. He has done graduate of the Aleemiyah Institute in Karachi and has studied at several instructions of higher learning. that are University of Karachi, the University of the West Indies, Al Azhar University and the Graduate Institute of International Relations in Switzerland.

He worked for several years as a Foreign Service Officer in the Ministry of Foreign Affairs of the Government of Trinidad and Tobago but gave up his job in 1985 to devote his life to the mission of Islam.

He lived in New York for ten years during which time he served as the Director of Islamic Studies for the Joint Committee of Muslim Organizations of Greater New York. He lectured on Islam in several American and Canadian universities, colleges, churches, synagogues, prisons, community halls, etc. He also participated in many inter-faith dialogues with Christian and Jewish scholars while representing Islam in USA. He was the Imam, for some time, at Masjid Dar al-Qur'an in Long Island, New York. He also led the weekly Juma'ah prayers and delivered the sermon at the United Nations headquarters in Manhattan once a month for ten years continuously.

He is a former Principal of the Aleemiyah Institute of Islamic Studies in Karachi, Pakistan, Director of Research of the World Muslim Congress in Karachi, Pakistan, Director of the Islamic Institute for Education and Research in Miami, Florida, and Director of D'awah for Tanzeem-e-Islami of North America. (Good reads, n.d)

He has traveled continuously and extensively around the world on Islamic lecture-tours since graduating from the Aleemiyah Institute of Islamic Studies in 1971 at age 29. And he has also written more than a dozen books on Islam that have invariably been received with public respect. Indeed, 'Jerusalem in the Qur'an - An Islamic View of the Destiny of Jerusalem' has become a best seller and has been translated and published in several languages. (People pill, n.d)

4.1.1. Educational career

He journeyed to Egypt to spend one year at the Al-Azhar University, but failing to draw much value from the institution, he left to join the Al-Aleemiyah University in Karachi, Pakistan under the guidance of a man, a scholar, who inspired him greatly, Dr. Muhammad Fazlur Rahman Ansari.

Here, he post-graduated in Philosophy and Islamic Studies, following which he pursued International Relations at the Graduate Institute of International Studies in Geneva and at the University of West Indies. He also served as an Imam in Brooklyn US and led weekly

Jumu'ah prayers and sermons at the United Nations HQ in Manhattan for 10 years. (IRON HEART PUBLISHING HOUSE, 2018)

It is an imperative for the Islamic scholarship to explore the subject of eschatology

Islamic Eschatology is the branch of Islamic theology that studies knowledge of the End times or Final age ('Ilmu Akhiru Zaman'). It explains the events that would unfold before the end of history—Yawm-ul-Qiyamah or the Day of Resurrection. The two basic sources of the Islamic eschatology are the Holy Qur'an and the authentic Hadith (sayings of the beloved Prophet, PBUH).

4.1.2. His writings

The subject of eschatology as a tool/science to explain the modern age, however, remains to be alien t most of the contemporary Islamic scholarship. Sheikh Imran Hosein, a sufi scholar who is pioneering and promoting this methodology makes him a unique figure in this field.

Sheikh Imran Hosein has authored several books on the subject—the important being: "Jerusalem in the Qur'an", 'An Islamic View of Gog and Magog in the Modern Age', Surah Al-Kahf and the Modern Age', 'The Prohibition of Riba in the Qur'an and Sunnah', etcetera. His unique style and methodology of explaining the most vexing contemporary issues pertaining to globalization, International politics, the world economy, International monetary affairs, the increasing prosperity of those who belong to or support the modern 'exploitative' Euro-American World order, and the increasing poverty and destitution of those who resist the same, etc.. With high vividness and unambiguity, using the Islamic Eschatology, is truly enthralling. (Greater Kashmir. 2018)

4.2. Contemporary performance of the Islamic banking

Sheikh Imran Hosein Animated Modern economy is based on Riba. Those who have wealth can guarantee profit in any economic condition. In this system, money cannot circulate through the system. Here money is only circulating among the rich. This is injustice according to the law of Allah. If we want to create free market, we must reconstruct the economic system. Therefore, we must eliminate Riba. (Imran Nazer Hosein. n.d.)

If the Muslims to get out of direct involvement in Riba, and thus to preserve their faith (iman), while recognizing that is today impossible to live a life which is completely free from Riba.

Fixed Deposits and Back-Door Riba in the system of modern Islamic Banking. The concept of modern Islamic Banking among Islamic jurists and scholars evolved in the 20th century after acquainting with the operational procedures of Conventional/ Fractional Reserve Banking. Muslim scholars of Islamic Finance are still looming in conundrum situation to solve the quagmire of Time Value of Money and Interest. There are indeed some loopholes in modern Islamic Banking that must be solved by the brains and brawn of Islamic Finance for full conformity with *Sharia*.

Islamic scholars have fallen by the wayside so badly that when a Trinidadian (money-lending) bank organizes a function to commemorate Eid al-Fitr, an Imam who is described as a Maulana accepts an invitation to deliver a feature address at the function. Then his photo graft appears in the daily newspaper posing with bank officials. Therefore, there is both widespread ignorance of the divine law pertaining to the prohibition of Riba, and, worse, wanton violation of that law.

'Fixed Deposit' with his money in a bank or any other financial institution? It should firstly be clear that he has not gifted the money. It must also be recognized that he has not entered into a 'business' transaction since he is guaranteed the return of his money plus an additional amount. There is no risk. There is no possibility of loss. And hence that is not business! In fact, in making a 'Fixed Deposit', he has lent his money on interest (Riba), and has hence become a cursed moneylender. Those (Muslims, Christians, Hindus, etc.) who read this essay and, in consequence of fear of Allah's eternal punishment, promptly respond by breaking their 'Fixed Deposits', would want to know what they could do with their Riba money. They can neither use it themselves, nor can they give it to others as charity. (Imran Nazer Hosein. n.d.)

4.2.1. From lending money on interest to crime in Islamic banking

The Qur'an, like the Bible before it, has prohibited the lending of money on interest:

"O you who have attained to faith, fear Allah and give up all the Riba (i.e., interest on loans) which is outstanding if you are truly believers; and if you do not do so, then take notice of a declaration of war from Allah and His Messenger" (Qur'an, al-Baqarah, 2:279).

'Lending money on interest' is not a business transaction since the moneylender is largely immunized from suffering loss. As a consequence, when modern banking (and this includes credit unions) embraces an economy, wealth no longer circulates through such an economy. The rich remain permanently rich and grow constantly richer. The poor, on the other hand, suffer the oppression of permanent poverty while they grow constantly poorer. Prophet Muhammad has cursed all four, and has declared that they are all equally guilty: *"the one who takes interest, the one who pays interest, the one who records the transaction, and the two witnesses to the transaction."*

The 'chickens eventually come home to roost' when such societies pay the price for the moneylender's economic injustice in rampant uncontrollable violent crime such as armed robbery, kidnapping and wanton senseless murder. That is precisely the state of this society today. Cuban President, Fidel Castro, once described the world economy in similar language: "Never before did mankind have such formidable scientific and technological potential, such extraordinary capacity to produce riches and well-being, but never before were disparity and inequity so profound in the world." He responded to this economic oppression by declaring that: "another Nuremberg is required to judge the unjust economic order."

Political parties, governments, banks, businesspersons, etc. who construct, support and justify a usurious economy will one day have to answer for the economic injustice that results. Unless they turn away from such economic injustice, crime will continue to haunt the whole society.

The link between economic injustice and today's crime-ridden society would, of course, be dramatically broken when Jesus (peace be upon him) returns and gold and silver coins are restored as money, money-lending on interest is put to the sword, the hand of the thief is cut off, and justice prevails in a free and fair market. Truth would then triumph over all rivals. At that time those now waging unjust war on Islam and oppressing Muslims in order to preserve their barbaric economic and political dominance over all of mankind, would be consigned to the garbage-bin of history. (imranhosein.org. n.d).

4.3. Prohibition of Riba in Islamic banking

According to Sheikh Imran Hosein, the importance of the prohibition of Riba in Islam ought to be based upon the two basic sources of Islam, the word of Allah (SWT) and the word of the Prophet (SAW). The Prophet (SAW) had, earlier in the day of Friday the 9th, of Dhu al-Hijjah 10 A.H., delivered the khutbah alwida' in which, among other things, he enforced the prohibition of Riba retroactively. He thus completed the process of the total eradication of Riba from the economy and society over which Islam exercised control. Then, at about the time of asr of that same day, Allah (SWT) sent down the Revelation announcing the essential completion of the process of Revelation of Divine guidance to humanity:

حُرِّمَتْ عَلَيْكُمُ الْمَيْتَةُ وَالدَّمُ وَلَحْمُ الْخِنْزِيرِ وَمَا أُهِلَّ لِغَيْرِ اللَّهِ بِهِ وَالْمُنْخَنِقَةُ وَالْمَوْقُوذَةُ وَالْمُتَرَدِّيَةُ وَالنَّطِيحَةُ وَمَا أَكَلَ السَّبُعُ إِلَّا مَا ذَكَّيْتُمْ وَمَا ذُبِحَ عَلَى النُّصُبِ وَأَنْ تَسْتَقْسِمُوا بِالْأَزْلَامِ ۚ ذَٰلِكُمْ فِسْقٌ ۗ الْيَوْمَ يَئِسَ الَّذِينَ كَفَرُوا مِنْ دِينِكُمْ فَلَا تَخْشَوْهُمْ وَاخْشَوْنِ ۚ الْيَوْمَ أَكْمَلْتُ لَكُمْ دِينَكُمْ وَأَتْمَمْتُ عَلَيْكُمْ نِعْمَتِي وَرَضِيتُ لَكُمُ الْإِسْلَامَ دِينًا ۚ فَمَنِ اضْطُرَّ فِي مَخْمَصَةٍ غَيْرَ مُتَجَانِفٍ لِإِثْمٍ ۙ فَإِنَّ اللَّهَ غَفُورٌ رَحِيمٌ

This day have those who disbelieve given up hope of (destroying) your Deen. So fear them not. Rather fear Me. This day have I perfected for you your Deen, and completed My favor unto you, and have chosen for you as your Deen al-Islam (i.e., submission to the Supreme Will of Allah). (Al-Maa'ida 5:3)

4.3.1. *The last verse revealed to the Prophet (SAW)*

In the last Revelation Allah (SWT), the Wise, chose to return to a subject which had already been dealt with in earlier Revelations — in the Qur'an as well as in the Torah, the Psalms, and the Gospel — namely the subject of the prohibition of Riba.

On the authority of hadith received from both Ibn Abbas (RAA) and from Umar (RAA), we know that the last Revelation received by the blessed Prophet (SAW), shortly before his death, was the passage in Surah Al-Baqarah (2:278-281) which dealt with Riba:

Umar Ibn Khattab (RAA) said: "The last verse to be revealed was on Riba, but Allah's Messenger (SAW) was taken without having expounded it to us; so give up not only Riba but also reebah (whatever raise doubts in the mind about its rightfulness). (Ibn Majah, Darimi)

"O you who believe, fear Allah and give up what remains (due to you) from Riba (from now onwards) if you are indeed believers ... (up to) And none shall be dealt with unjustly. (Al-Baqarah 2:278-281)

Ibn Abbas (RAA) said: "This was the last verse revealed to the Prophet (SAW)." (Bukhari)

The choice of the subject of Riba as the last Revelation, the fact that Allah returned to the subject of Riba after announcing the perfection of revealed Deen, and the fact that He sent the last Revelation shortly before the death of the Prophet (SAW), all of this appears to constitute the most dire of all warnings that Riba will pose the gravest of all threats to the faith, freedom, and power of the believers. This, then, is the importance of the subject, that herein lies the potential for the most dangerous, destructive, and devastating attack on the faith of the believers and the integrity and power of the Ummah of the Prophet (SAW).

4.3.2. *Grave Danger of Riba: Allah Wages War for the Liberation of the Economically Oppressed*

Allah, the Supreme, spoke with such forceful language concerning the sin of Riba that it is, perhaps, the greatest sin (other than shirk) that exists in the realm of belief or conduct.

Allah's anger because of the oppression of Riba is so great that the oppressors, who are already aware of their fate, will stand before Almighty Allah (SWT) after their resurrection as a people who appear to be driven to madness by the touch of Satan. Allah (SWT) will not simply punish such people; He will wage a war against them.

Almighty Allah (SWT) for the consumption of Riba assumes even greater importance when we reflect over the fact that Allah (SWT) intervened to protect the first masjid (i.e., Kaaba) when Abraha came with his army of elephants to destroy it. (Al-Feel 105:1-5). Even when the Kaaba was filled with idols, Almighty Allah (SWT) still intervened to save it from destruction. And yet, even though there were no idols in the second masjid (i.e., Masjid Al-Aqsa), Almighty Allah (SWT) twice sent armies to destroy it. Such is the state of Divine anger over the oppression caused by Riba. (Imran Nazer Hosein. n.d.)

4.3.3. Prophet Muhammad (SAW), with Riba

"There will come a time," he said, "when you will not be able to find a single person in all of mankind who will not be consuming Riba. And if anyone claims that he is not consuming Riba then surely the vapor of Riba will reach him. (Abu Daud, Mishkat) According to another text, "the dust of Riba will reach him." The Prophet (SAW) thus made it abundantly clear that the greatest danger to the integrity of the Ummah and of the Iman of the believers would come from Riba. This confirmed the warning from Almighty Allah (SWT) Himself that was pronounced in the choice of Riba as the subject of the last Revelation.

Prophet Muhammad (peace be upon him) declared that the consumption of even a Dirham (a silver coin worth a few dollars) of Riba (usury) was equivalent to “committing adultery 36 times”. He also declared that Riba was comprised of 70 parts and that the smallest part (was so bad that) it was equivalent to “a man marrying his own mother”. Indeed “he cursed all four, and declared that they were all equally guilty—the one who took Riba (i.e., the money-lender), the one who gave Riba (i.e., while paying interest on a loan), the one who recorded the transaction (hence bank personnel), and the two witnesses.” (Imran Nazer Hosein. n.d.)

4.4. Role of Murabahah in Islamic banking

‘Fixed Deposits’ as well as to so-called Murabahah transactions in an attempt to explain such to be ‘money-lending’ transactions.

Islamic Banks and other Islamic financial institutions are today lending money on interest through the back door by disguising a loan as a sale on credit. They call it Murabahah! But it is most certainly not Murabahah! It is Riba! What the bank does is to offer an item on sale in a credit transaction with a price substantially higher than the cash price. While credit transactions are Halal, since the blessed Prophet (sallalahu ‘alaihi wa sallam) himself engaged in such transactions, there is no evidence that the credit price in such transactions was ever higher than the cash price. When credit price is higher than cash price then the implication would be that time has value. And the essence of Riba is that money grows over time. When a client wishes to purchase something, but does not possess the cash with which to purchase it, the so-called Islamic bank enters into the fiction of purchasing the item at its cash price and then selling it to the client on credit. The interest charges are added to the selling price thus making a credit price for the item substantially higher than the cash price. (Imran Nazer Hosein. n.d.)

In fact, the bank never actually purchases the item. Rather, it writes out a check to the client who then purchases the item in his name with the bank holding a lien on the item until the sale price is eventually paid to the bank. The bank therefore sold something that it never actually owned – and that is Haram! In fact the ‘sale’, also, was entirely fictitious. What the bank actually did was to ‘lend’ a specific sum of money on interest over a specific period of time and to then denominate the ‘loan’ in the amount of a final total that included the total interest payments as money due on a ‘sale’.

It is when the client defaults on payment of installments of money due to the bank that one is treated to ridiculous and utterly scandalous financial gymnastics. Consider the following: a client entered into a so-called Murabahah transaction with an unnamed Islamic Bank to purchase a house with a market price of $500,000. The bank wrote out the check to him for $500,000. With which he then purchased the house in his name. He thus became legal owner of the house. The bank then transacted with him a fictitious sale agreement to sell to him on credit a house that the bank never owned (and hence could not sell) for a total of $1 million. The difference between the credit and cash prices was thus $500,000.

One month after entering into the agreement the client defaulted on his payments. The bank then repossessed the house and sold it on the open market for $500,000. However, the bank went on to sue the client for an outstanding balance of almost $500,000. The court, however, dismissed the claim and ruled that the bank was entitled to nothing more than the interest payment for the actual duration of the contract (i.e., the amount of time it took the bank to recover its $500,000.)

It is a stern warning to deliver to those scholars of Islam who persist in defending the so-called Murabahah transactions of Islamic Banks today. They defend the transaction with Fatwas (fatwa) that are as invalid as the Fatwas (fatwa) which today blindly declare paper money of the modern world to be Halal, and would equally blindly declare tomorrow's 'electronic money' to be Halal. If they obstinately persist in their defense of today's so-called Murabahah transactions, and then learn in Allah's court that it was not Murabahah but Riba, at that time they cannot plead for mercy from Allah for they will have misguided people, nor can they say, "I did not know". (Imran Nazer Hosein. n. d.)

Critical analysis

- Mufti Taqi Usmani says the Islamic banking is based on Murabahah. Islamic banking is aparticular type of sale and not a mode offinancing. The ideal mode of financing according to Shariah is Mudarabah or Musharakah. On the other hand , Imran Nazar Hosein idea about the Islamic Banks and other Islamic financial is that, these type institutions are today lending money on interest through the back-door by disguising a loan as a sale on credit. They call it murabaha! But it is most certainly not murabaha! It is Riba!

- The idea of present Islamic banking of Imran Nazar Hosein is, when Islamic banking embraces an economy, wealth no longer circulates through such an economy. The rich remain permanently rich and grow constantly richer. The poor, on the other hand, suffer the oppression of permanent poverty while they grow constantly poorer. vice versa the view of Mufti Taqi Usman is that, instrument of interest has a constant tendency in favor of the rich and against the interests of the common people. The rich industrialists by borrowing huge amounts from the bank utilize the money of the depositors in their huge profitable projects.

- Mufti Taqi Usmani declear the meezan bank thr interest free Islamic bank while the view of Imran Nazar Hosein is that in the todays world no bank interest free Islamic bank.

- The view of Mufti Taqi Usmani about the difference between the secular capitalist system and the Islamic principles is that under the former system, loans are purely commercial transactions meant to yield a fixed income to the lenders. Islam, on the other hand, does not recognize loans as income-generating transactions. They are meant only for those lenders who do not intend to earn a worldly return through them. On the other hand Imran Nazar Hosein says the western banking aims at maximizing profits without any restrictions incase of lenders whereas the Islamic banking, like the former aims at maximizing profit but under extreme restrictions of the Shariah law it's the teaching of sharia by not followed by the today's Islamic banks.

Conclusion

Islam is not restricted to the banking transactions. Therefore, we can say that, the Islamic banks should develop their own culture, set of rules and principles governing the completely human life.

Therefore, for being 'Islamic' it is not sufficient to design the transactions on Islamic principles. It is also necessary that the outlook of the institution and its staff reflect the Islamic identity quite distinguished from the conventional institution. This requires a major change in the general attitude of the institution and its management. Islamic obligations of worship as well as the ethical norms must be prominent in the whole atmosphere of an institution that claims to be Islamic. Some Islamic institutions in the Middle East have made progress in this area.

However, it should be a distinguishing feature of all the Islamic banks and financial institutions throughout the world. The guidance of Shariah Boards can be sought in this area also.

The purpose of this discussion, as clarified at the outset, is by no means to discourage the Islamic Banks or to find faults with them.

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